

Student Guide — Value Chain Investment Simulation

What This Simulation Is

You are part of a leadership team running a company. Each cycle you decide how to invest limited resources across value-creating, value-supporting, and non-value-add activities. Your choices change the health of activities and your team's Competitive Advantage Score (CAS).

This is not a puzzle with a single correct answer. It is a decision-making exercise focused on tradeoffs, consistency, and learning how activity fit affects performance.

Your Role Each Cycle

Every cycle you will: 1. Review your current activity health, CAS change, budget, and any announced shock. 2. Allocate your budget across activities you choose to invest in. 3. Decide whether to eliminate any non-value-add activities (if available). 4. Submit your team's decisions before the cycle ends.

What You Control

You control two things each cycle. 1. Investment allocations. You decide how much to invest in each activity. This improves health but competes for limited budget. 2. Non-value-add eliminations. You may choose to eliminate certain non-value-add activities. Eliminations cost budget up front but can reduce ongoing drag.

What You Don't Control

You do not control: 1. Decay. Activities naturally lose health each cycle unless maintained. 2. Shocks. The instructor may inject a shock that affects certain activities. 3. Linkage rules. These are fixed relationships that create bonuses when supporting and primary activities are healthy enough.

Activity Types (Concepts, Not Answers)

1. Value-creating activities. Directly drive competitive advantage and CAS.
2. Value-supporting activities. Strengthen value-creating activities through linkages.
3. Non-value-add activities. Create ongoing drag unless eliminated; some eliminations have one-time costs.

What Happens After You Submit

After each cycle ends, the system updates: 1. Activity health (investments and decay applied). 2. CAS change for the cycle. 3. Budget for the next cycle. 4. Team rank based on CAS.

You will see a results summary and updated health for the next cycle.

Timing and Participation

1. Cycles are timed. Submit before time expires.
2. Teams that do not submit will still advance, but their choices are effectively zeroed for that cycle.
3. Your team's performance is cumulative across cycles.

Glossary

1. Health. A 0–100 value for each activity's current capability.
2. CAS (Competitive Advantage Score). A cycle-by-cycle measure based on activity health, linkages, shocks, and non-value-add drag.
3. Linkage. A rule that rewards strong support activity health with bonuses to a primary activity.
4. Shock. An external event that impacts certain activities in a cycle.
5. Decay. A natural reduction in activity health if you don't invest.

What Good Participation Looks Like

1. Explain your tradeoffs clearly as a team.
2. Make decisions, observe outcomes, and adjust next cycle.
3. Use evidence from the results screen to support your reasoning.

Code of Conduct

1. Play as a team and make decisions together.
2. Do not try to access or modify the system outside the game interface.
3. The goal is learning, not "gaming" the system.